



[Weekly Market Commentary](#)

Dear clients,

Crypto markets are primarily being driven by macro factors ahead of inauguration day, as the Federal Reserve's data-dependent stance makes it challenging to pinpoint the path for monetary policy this year. Indeed, market conditions appear somewhat volatile from a macro perspective- pushing the 65-day rolling correlation between the COIN50 index and the S&P 500 above 40%, up from December's average of 35%.

A softer than expected December CPI print helped US 2y and 10y rates retrace, boosting global assets this week, including crypto. Moreover, the inclusion of some crypto-related regulatory reforms in President-elect Trump's list of 100 potential "day-one" executive orders helped the market recover. In our view, these headlines suggest crypto could be relatively high on the new administration's agenda, which looks increasingly positive and (we think) may not be fully priced in.

Meanwhile, the drop in BTC dominance from 58.5% to its support level of 57.3% during the inflation print relief rally on January 15 suggests to us that traders may be positioning for an outsized altcoin market rally on the back of positive catalysts for risk assets and crypto. Stablecoin supply - perhaps the most clear proxy for capital flows to these long tail assets in our view - increased by \$1.3B last week, a continuation of trends we've observed over the past two months.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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